

investors, with an average period of activism lasting just over two years in length.⁵⁸) The filing of a schedule 13D notice—often the first public disclosure of an intention to engage in activism—tends to be a positive catalytic event, pushing up the stock of targeted companies in the short term. In 2007, finance researchers April Klein and Emanuel Zur found that “confrontational” activist campaigns—those where the activist filed a 13D notice stating that they intend to influence management’s decisions—generated “significantly positive market reaction for the target firm around the 13D filing date” and “significantly positive returns over the subsequent year.” On average, targeted stocks immediately return 7 percent in excess of the market return.⁵⁹ Target companies then return 10.2 percent over the market during the period after the filing of the schedule 13D notice, and an additional 11.4 percent over the market return in the following year.⁶⁰ In 2008 Alon Brav, Wei Jiang, Randall Thomas, and Frank Partnoy also measured the short-term impact of activism by examining the stock price performance around the filing of a schedule 13D notice, from 20 days prior to 20 days after filing.⁶¹ They found that there is a runup of about 3.2 percent over the market between 10 days to 1 day prior to filing. The filing day and the following day see a jump of about 2 percent over the market. After filing, the stock price returns an additional 2 percent over the market for a total of 7.2 percent in the 20 days. Figure 9.1 shows the “abnormal” returns—the returns in excess of the market—around the filing window.

Returns vary by the type of activist campaign fought. Brav et al. find that campaigns seeking a sale of the target generated the highest return of 10.94 percent in excess of the market. Business strategy related activism—for example, agitating to have an over-diversified company refocus by spinning-off non-essential assets—also generated significant returns in excess of the market of 4.37 percent. Activist campaigns with no stated goal other than improving shareholder value, efficiency, or simple undervaluation, generated a return of 4.99 percent over the market. Brav et al. found that campaigns targeting capital structure and corporate governance issues generated little excess return. However, other researchers have found that corporate governance reforms led to the largest premia in a sale of the company.⁶² This research examined activist strategies in the context of the ends sought, finding that the activists were on average successful in achieving their specific goals. For example, activist campaigns focused on business strategy produced profitable businesses, with revenue growth, increased margins, and improved returns on assets. Campaigns seeking a sale of the target succeeded in concluding a sale more than twice as often as the average target, and for higher prices. (A demand that a target put itself up for sale earned on average a 24.6 percent premium over the market.) Activism focused on the capital structure increased pay-out ratios by more than 10 percent and